

GST CASE LAW COMPENDIUM



GOODS AND SERVICES TAX

**RITESH ARORA &
ASSOCIATES**

CHARTERED ACCOUNTANTS

Growth. Clarity. Integrity



AUTHORED BY:

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

EXCERPTS



Whether the department can initiate proceedings under Section 73 when the taxpayer's explanation in scrutiny proceedings under Section 61 has already been accepted?



Whether presumptions under Sections 132(4A) and 292C of the Income-tax Act can be automatically invoked in GST proceedings?



Whether an exporter making zero-rated supplies under Section 16(1) of the IGST Act can be denied refund of unutilised ITC by treating such supplies as "deemed exports" and applying Rule 89(4A) of the CGST Rules?

Let's decode GST litigation together

INDEX

• Whether the department can initiate proceedings under Section 73 when the taxpayer's explanation in scrutiny proceedings under Section 61 has already been accepted?		1
• Whether presumptions under Sections 132(4A) and 292C of the Income-tax Act can be automatically invoked in GST proceedings?		2
• Whether an exporter making zero-rated supplies under Section 16(1) of the IGST Act can be denied refund of unutilised ITC by treating such supplies as "deemed exports" and applying Rule 89(4A) of the CGST Rules?		3
• Whether Clause 2 of Circular No. 181/13/2022-GST can retrospectively restrict refund of unutilised Input Tax Credit under Section 54(3) of the CGST Act?		4
• Whether liquidated damages paid for breach or non-performance under a concession agreement constitute consideration for supply and attract GST?		5
• Whether refund of IGST wrongly paid can be denied on limitation when the transaction is later held to be intra-State and tax is paid again, having regard to Section 54 of the CGST Act and Rule 89(1A) of the CGST Rules?		6
• Whether construction of residential flats by a developer for the landowner under a Joint Development Agreement constitutes a taxable supply under GST?		7
• Whether relief under Article 226 can be granted against action under Section 68 of the GST Act when the taxpayer is found to be involved in a fraudulent ITC arrangement?		8
• Whether affiliation fees, admission fees, registration fees and other statutory charges collected by a State University constitute a "supply" liable to GST under the CGST/KGST Acts?		9
• Whether refund of unutilised ITC on export of services can be denied under Section 54 of the CGST Act merely for non-submission of FIRC when receipt of foreign exchange is otherwise undisputed?		10

INDEX

• Whether paddy qualifies as “agricultural produce” and whether rent received for godown used for storage of paddy is exempt from GST?	 11
• Whether seizure of goods and imposition of penalty under Section 129(3) of the CGST Act are sustainable when the e-way bill was generated prior to detention of goods?	 12
• Whether a GST demand can exceed the amount proposed in the show-cause notice in view of Section 75(7) of the CGST Act, 2017?	 13
• Whether the Authority for Advance Ruling can refuse to entertain an application under the proviso to Section 98(2) of the CGST Act when a prior proceeding has not adjudicated the legal issue of taxability?	 14
• Whether the GST authorities can block Input Tax Credit beyond the balance available in the electronic credit ledger by creating a negative ITC balance under Rule 86A of the CGST Rules?	 15
• Whether a society formed under a Government Order and substantially funded and controlled by the State qualifies as a “Government Entity” and is entitled to GST exemption under Entry 9B of the exemption notification?	 16
• Whether GST can be levied on regulatory fees collected by a State Electricity Regulatory Commission for discharge of its statutory and sovereign functions under the Electricity Act?	 17
• About the Author	 18
• About the Firm	 19



CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
CHARTERED
ACCOUNTANTS
Growth. Clarity. Integrity

Whether the department can initiate proceedings under Section 73 when the taxpayer's explanation in scrutiny proceedings under Section 61 has already been accepted?

No, the Hon'ble Delhi High Court in ***Kemexel Ecommerce Pvt. Ltd. v. Sales Tax Officer, Ward 105, Delhi [W.P.(C) 16555/2025, decided on 31.10.2025 | 2025 (11) TMI 663 – DELHI HIGH COURT]*** held that once the taxpayer's explanation furnished during scrutiny proceedings under Section 61(1) has been accepted, Section 61(2) creates a statutory embargo barring any further action on the same grounds, including issuance of a show-cause notice under Section 73. The petitioner had responded satisfactorily to a scrutiny notice, and the department formally accepted the explanation. However, after several months, a show-cause notice dated 29.05.2024 under Section 73 was issued on the very same issues, culminating in an order dated 28.08.2024. The Court held that such action was impermissible, as "further action" in Section 61(2) includes demand proceedings under Section 73 and cannot be taken once the scrutiny explanation is accepted. It noted that Section 73 does not contain a non-obstante clause overriding Section 61, and allowing reopened scrutiny would defeat the purpose of the statutory scheme. The Court emphasized that the legislative intent behind Section 61 is to ensure finality and certainty in scrutiny proceedings, preventing repetitive or arbitrary reopening of settled issues. Accordingly, both the SCN dated 29.05.2024 and the consequential order dated 28.08.2024 were quashed, and the writ petition was disposed of.

Author's Comments:

The Delhi High Court has drawn a strict demarcation between scrutiny proceedings under Section 61 and adjudication under Sections 73/74, holding that once an explanation offered during scrutiny is accepted, Section 61(2) bars any further action on the same grounds. While this interpretation advances certainty and finality for taxpayers, it arguably construes Section 61 too expansively.

Section 61 is, by design, a limited and preliminary mechanism, intended only to seek clarification of apparent discrepancies in returns. Closure of scrutiny does not partake the character of adjudication nor does it determine tax liability. In contrast, Sections 73 and 74—both opening with the words "where it appears to the proper officer"—confer a wide jurisdiction to initiate proceedings based on any credible material, whether arising from audit (Section 65), inspection/search (Section 67), summons-based inquiry (Section 70), or independent intelligence inputs. Scrutiny under Section 61 is merely one of several gateways leading to adjudication under Chapter XV.

In the author's view, treating the dropping of scrutiny as a permanent bar on subsequent proceedings risks unsettling the integrated statutory framework. The Act does not expressly prohibit initiation of Section 73/74 proceedings merely because scrutiny was earlier concluded. The real test should be whether the subsequent proceedings are founded on fresh, tangible material, and not a mechanical re-examination of the same facts already accepted.

That said, the judicial trend cannot be ignored. The Division Bench of the Rajasthan High Court in *Goverdhandham Estate Pvt. Ltd.* 2024 (1) TMI 1434 – RAJASTHAN HIGH COURT and the Madras High Court in *Radiant Cash Management Services Ltd.* 2024 (3) TMI 961 – Madras High Court have taken a similar view that once scrutiny is closed under Section 61(2), further proceedings on the same issue are impermissible.



Can the tax presumptions under Sections 132(4A) and 292C of the Income-tax Act can be automatically invoked in GST proceedings?

No., the Hon'ble Delhi High Court in **M/s. J.M. Jain (Proprietor – Shri Jeetmal Choraria) v. Union of India & Ors. [W.P. (C) No. 16754 of 2025, decided on 27.11.2025 | 2025 (12) TMI 83 – DELHI HIGH COURT]** held that the statutory presumptions contained in Sections 132(4A) and 292C of the Income-tax Act, 1961 cannot be mechanically or automatically applied to GST proceedings. The petitioner challenged the show-cause notice issued under the CGST Act, contending that it was founded solely on documents seized by the Income-tax Department and that the presumptions under the Income-tax Act were impermissibly imported into GST proceedings. The Court rejected the constitutional challenge to Section 75(2), holding that the provision merely enables the proper officer to proceed on the basis of material available and does not dilute principles of natural justice. The Court clarified that presumptions under Sections 132(4A) and 292C of the Income-tax Act are rebuttable, confined to proceedings under that Act, and cannot, by themselves, justify final determination of GST liability. However, the Court also held that there is no legal bar on GST authorities relying upon documents, statements, or material unearthed during Income-tax searches as information for initiating independent investigation and issuing a show-cause notice under the CGST Act. Finding that the impugned notice was neither vague nor bereft of material particulars, and that the petitioner would have full opportunity to rebut the allegations during adjudication, the High Court declined to interfere at the notice stage and dismissed the writ petition as premature, directing the petitioner to file a reply, seek personal hearing, and pursue remedies in accordance with law.

Author's Comments:

This decision draws an important distinction between presumptions and proof in tax adjudication. Presumptions under Sections 132(4A) and 292C of the Income-tax Act are statutory aids confined to proceedings under that Act and are rebuttable in nature. They do not amount to conclusive proof, nor can they be transplanted wholesale into GST proceedings to fasten liability. The Delhi High Court has correctly clarified that while GST authorities may rely on information, documents, or statements unearthed during Income-tax searches as inputs for investigation, the burden of establishing tax liability under the CGST Act must still be discharged independently, based on evidence tested through GST adjudicatory standards.

Presumption merely allows the authority to proceed on an assumption of truth unless rebutted; it does not dispense with the requirement of proving the essential ingredients of a GST demand. The distinction between “not proved” and “disproved” remains critical—failure of the department to conclusively establish a fact cannot automatically be converted into an adverse finding against the taxpayer. Equally, rejection or dilution of evidence in one proceeding does not obliterate its existence for all purposes; the same material may still have evidentiary relevance in another statutory framework, subject to admissibility and adequacy.

From a litigation strategy perspective, the petitioner's approach was arguably premature. Instead of directly invoking writ jurisdiction at the notice stage, a more effective course would have been to invoke Section 67(10) of the CGST Act to seek disclosure of all documents, material, and information relied upon in the show-cause notice. If such disclosure was denied or selectively furnished, judicial review would then be justified.



Whether an exporter making zero-rated supplies under Section 16(1) of the IGST Act can be denied refund of unutilised ITC by treating such supplies as “deemed exports” and applying Rule 89(4A) of the CGST Rules?

No, the Hon’ble Gujarat High Court in ***Shah Paperplast Industries Ltd. & Anr. v. Union of India & Ors. [R/Special Civil Application No. 18892 of 2023 with allied matters, decided on 13.11.2025 | 2025 (11) TMI 1326 – GUJARAT HIGH COURT]*** held that an assessee exporting goods is entitled to refund of unutilised Input Tax Credit under Section 54(3) of the CGST Act read with Section 16(1) of the IGST Act and Rule 89(1) / 89(4) of the CGST Rules, and such refund cannot be denied by erroneously treating the exports as “deemed exports.” In the present case, the petitioners were engaged in export of goods and claimed refund of accumulated ITC on zero-rated supplies without payment of tax. The refund claims were rejected by the authorities on the premise that the supplies should be treated as deemed exports, and accordingly, Rule 89(4A) was applied by relying upon para 2.2 of Circular No. 172/04/2022-GST dated 06.07.2022. The High Court, upon examining the factual matrix, found that the petitioners’ suppliers had treated their outward supplies as regular B2B supplies, had not followed the deemed export procedure, and had neither claimed refund nor other benefits available to deemed exports. The Court held that once the supplies made by the petitioners were admittedly exports qualifying as zero-rated supplies under Section 16(1) of the IGST Act, the refund mechanism under Section 54(3) read with Rule 89(1) and 89(4) would apply, and the authorities could not artificially import deemed export provisions to deny the benefit. The Court further held that para 2.2 of the circular cannot override the statutory provisions and was inapplicable to the facts of the case. Finding the rejection of refund and the subsequent suo motu review of already sanctioned refunds to be contrary to law, the Court quashed the impugned orders and allowed the writ petitions.

Author’s Comments:

This decision decisively reiterates the statutory distinction between “zero-rated supplies” and “deemed exports”, a distinction often blurred by administrative interpretation. Section 16(1) of the IGST Act confers an unqualified zero-rating benefit on physical exports of goods, entitling exporters to refund of unutilised ITC under Section 54(3) read with Rule 89(1) and 89(4). Deemed exports, on the other hand, are a separate and artificial category created under Section 147, extending limited benefits to specified domestic supplies subject to strict procedural compliance.

On facts, the suppliers of inputs to the petitioners had treated their outward supplies as regular B2B supplies, not as deemed exports. They neither followed Circular No. 14/14/2017-GST dated 06.11.2017 nor endorsed invoices as deemed exports, nor claimed any refund or benefit available under that scheme. In such circumstances, re-characterising the petitioner’s exports as deemed exports was legally untenable. Once goods are physically exported, the supply squarely falls under Section 16(1) of the IGST Act and cannot be retrospectively converted into a deemed export to deny refund.

The Court has also correctly confined the scope of para 2.2 of Circular No. 172/04/2022-GST. That clarification merely explains that ITC availed solely for claiming refund of tax paid on deemed exports is not “Net ITC” for the purpose of Rule 89(4)/(5). It does not authorise denial of refund on genuine zero-rated exports. Executive circulars cannot override or dilute statutory refund entitlements.

The omission of Rule 89(4A) vide Notification No. 20/2024-CT dated 08.10.2024 further strengthens this position prospectively. However, such omission does not automatically invalidate past proceedings initiated under the rule, which must be tested independently on their facts and legality.



Whether Clause 2 of Circular No. 181/13/2022-GST can retrospectively restrict refund of unutilised Input Tax Credit under Section 54(3) of the CGST Act?

No, the Hon'ble Allahabad High Court in **M/s. Vaibhav Edibles Pvt. Ltd., M/s Garg Edible Oil, M/s Kanpur Edibles Pvt. Ltd. & M/s Hari Om Oil Mills v. State of U.P. & Ors. [Writ Tax No. 1060 of 2024, decided on 13.11.2025 | 2025 (11) TMI 1265 – ALLAHABAD HIGH COURT]** held that Clause 2 of Circular No. 181/13/2022-GST dated 10.11.2022 is invalid to the extent it seeks to retrospectively apply the restrictions introduced by Notification dated 13.07.2022 to refund applications filed on or after 18.07.2022, irrespective of the relevant tax period. In the present case, the petitioners, engaged in the manufacture and sale of edible oils, were operating under an inverted duty structure and had accumulated unutilised Input Tax Credit, for which refund was claimed under Section 54(3) of the CGST Act. The department sought to deny or restrict such refund by relying on Clause 2 of the impugned circular, which clarified that the amended refund restriction would apply to all applications filed after 18.07.2022, even where the ITC accumulation pertained to periods prior to the amendment. The High Court observed that neither the parent statute nor the notification expressly authorised retrospective application of the restriction, and that a circular, being an executive instruction, cannot travel beyond the scope of the law. Placing reliance on the decision of the Hon'ble Andhra Pradesh High Court in Priyanka Refineries Ltd. v. Union of India [2025 (2) TMI 302 – ANDHRA PRADESH HIGH COURT], the Court held that imposing retrospective disabilities through a circular amounts to impermissible expansion of delegated legislation. Finding no distinguishing features warranting a contrary view, the Court allowed the writ petitions and quashed the refund-related show cause notice dated 04.06.2024.

Author's Comments:

This judgment decisively reinforces the settled principle that refund entitlements crystallised under Section 54(3) cannot be retrospectively curtailed through executive instructions. A circular is meant to clarify the law and ensure uniform administration; it cannot impose new conditions, create artificial classifications, or withdraw accrued statutory benefits. Clause 2 of Circular No. 181/13/2022-GST, by seeking to apply the restriction introduced vide Notification dated 13.07.2022 to refund applications merely on the basis of the date of filing, irrespective of the tax period to which the ITC pertained, travels beyond the scope of the parent statute.

The internal inconsistency of the impugned circular is striking. On the one hand, it acknowledges that the notification dated 13.07.2022 operates prospectively; on the other, it attempts to deny refunds pertaining to periods prior to the amendment merely because the application was filed after 18.07.2022. Such a construction is neither logical nor legally sustainable. As correctly observed by the Gujarat High Court in Patanjali Foods Ltd.[2025 (3) TMI 367 – GUJARAT HIGH COURT], creating an artificial class of assessee based solely on the date of filing of refund applications is arbitrary and violative of Article 14. The same reasoning had earlier led to striking down para 2(1) of the very same circular in Ascent Meditech (2024 (12) TMI 511 – GUJARAT HIGH COURT).

Importantly, the restriction introduced by Notification dated 13.07.2022 was for the first time brought into the statute and was expressly made applicable prospectively from 18.07.2022. In the absence of any express legislative intent to the contrary, refund claims relating to periods prior to the amendment cannot be adversely affected, irrespective of when the application is filed. To hold otherwise would amount to retrospectively impairing vested rights, something impermissible even by delegated legislation, let alone by a mere circular.



Whether liquidated damages paid for breach or non-performance under a concession agreement constitute consideration for supply and attract GST?

No, the Authority for Advance Ruling, Gujarat in *In re: M/s. JBM Ecolife Mobility Surat Private Ltd. [Advance Ruling No. GUJ/GAAR/R/2025/47, dated 03.11.2025 | 2025 (11) TMI 758 – AAR, GUJARAT]* held that liquidated damages paid by the applicant under a concession agreement for breach or non-performance are compensatory in nature and do not constitute consideration for any supply under the CGST Act. The applicant was engaged in execution of a concession agreement containing stipulated performance parameters, failure of which attracted liquidated damages as a pre-estimated measure of loss. The issue before the Authority was whether such payments could be treated as consideration for “tolerating an act” or “agreeing to an obligation” under Schedule II, thereby attracting GST.

The Authority observed that liquidated damages are not paid pursuant to any consensual arrangement where one party agrees to tolerate breach in exchange for consideration. Instead, such damages arise automatically upon breach and operate as a deterrent mechanism to secure contractual compliance. There was no reciprocal obligation on the counterparty to refrain from enforcing the contract, tolerate non-performance, or provide any service in return for the payment. The essential element of quid pro quo, which is foundational to the concept of supply under Section 7 of the CGST Act, was conspicuously absent.

The AAR further noted that liquidated damages are not a contractual option exercised by the defaulting party, but a consequence imposed upon breach, intended to compensate the aggrieved party for anticipated loss. The Authority relied upon CBIC’s clarification that penal charges and liquidated damages are generally not taxable where they merely compensate for loss and do not represent consideration for any independent activity. It emphasized that classification of such payments as taxable would distort the distinction between compensation and consideration and extend GST to pure damages, which the statute does not contemplate.

Rejecting the argument that liquidated damages amount to consideration for tolerating an act, the Authority held that Schedule II applies only where there is a conscious and express agreement to tolerate or permit an act for consideration. In the absence of such intent and mutuality, liquidated damages remain outside the scope of supply. Accordingly, the Authority ruled that GST is not payable on the liquidated damages paid under the concession agreement, and the ancillary questions raised were rendered academic.

Author’s Comments:

Jurisdiction of the Authority for Advance Ruling is limited by statute and must be exercised strictly within the contours of Section 95 read with Section 97 of the CGST Act. An advance ruling can be sought only in relation to outward supplies undertaken or proposed to be undertaken by the applicant, and not in respect of transactions where the applicant is merely a recipient or where the issue does not pertain to any “supply” at all. This foundational limitation is often overlooked, leading to questionable admissions of applications by AARs.

The Odisha AAR’s decision in *EFC Logistics India Pvt. Ltd. 2024 (6) (A.A.R. – Odisha)* serves as a reminder that where the applicant is not the supplier of the activity in question, the application itself is liable to be rejected at the threshold. Viewed in that context, even the maintainability of an advance ruling application on liquidated damages, where no supply is undertaken by the applicant, can be debated. Nevertheless, having entertained the application, the Gujarat AAR has correctly analysed the substantive issue.

From a contractual standpoint, liquidated damages flow from breach or non-performance, not from any consensual supply arrangement. Section 73 of the Indian Contract Act, 1872 treats such payments purely as compensation for loss or damage suffered due to breach. They do not represent consideration for any independent activity, nor do they involve reciprocity or mutual obligations. The GST law does not tax damages per se; it taxes only supplies made for consideration.

The Authority’s rejection of the “tolerating an act” argument is therefore legally sound. Schedule II applies only where there is a conscious agreement to tolerate or permit an act for consideration, not where damages arise as a consequence of contractual failure. Treating liquidated damages as taxable would collapse the critical distinction between compensation and consideration, an outcome neither contemplated by Section 7 nor supported by CBIC’s clarifications.

Whether refund of IGST wrongly paid can be denied on limitation when the transaction is later held to be intra-State and tax is paid again, having regard to Section 54 of the CGST Act and Rule 89(1A) of the CGST Rules?

No, the Hon'ble Karnataka High Court in **M/s. Merck Life Science Private Limited v. Union of India & Ors. [Writ Petition No. 27259 of 2024 (T-RES) c/w allied matters, decided on 07.11.2025 | 2025 (11) TMI 1419 – KARNATAKA HIGH COURT]** held that IGST wrongly paid to the Central authorities on transactions subsequently treated as intra-State supplies cannot be retained by the State merely on the ground of limitation under Section 54 of the CGST Act read with Rule 89(1A) of the CGST Rules. In the present case, the petitioner had initially discharged IGST on certain supplies under the bona fide belief that they were inter-State transactions. Upon subsequent determination that the supplies were in fact intra-State, the petitioner paid CGST and SGST to the State authorities and sought refund of the IGST earlier paid. The refund claim was rejected as time-barred by invoking Section 54 and Rule 89(1A). The High Court observed that retention of tax not authorised by law offends Article 265 of the Constitution and that refund provisions must be interpreted to advance restitution rather than defeat it. Relying on its earlier decisions in *Lenovo (India) Pvt. Ltd. v. Joint Commissioner of Commercial Taxes* [2023 (11) TMI 774 – MADRAS HIGH COURT] and *Nspira Management Services Pvt. Ltd. v. Union of India* [2025 (10) TMI 107 – ANDHRA PRADESH HIGH COURT], the Court held that the limitation prescribed under Section 54 and Rule 89(1A) is directory and not mandatory in cases of tax wrongly paid due to misclassification of the nature of supply. The Court further observed that once tax is paid again under the correct head, denial of refund of the wrongly paid tax would result in unjust enrichment of the State. Accordingly, the rejection of the refund claim on limitation was set aside, the claim was held to be within time, and the matter was remanded to the adjudicating authority to decide the refund on merits within the stipulated period.

Author's Comments:

This judgment reinforces a fundamental constitutional principle—that no tax can be retained by the State without authority of law, as mandated under Article 265 of the Constitution. Where IGST is paid under a bona fide mistake of law on transactions later held to be intra-State, such payment ceases to have the character of “tax” once the correct tax (CGST and SGST) is duly discharged. In such cases, the State cannot invoke technical limitation under Section 54 of the CGST Act to unjustly enrich itself by retaining amounts to which it was never legally entitled.

The Karnataka High Court's reasoning is consistent with a long line of jurisprudence holding that refund provisions cannot be applied rigidly where the levy itself is illegal or unauthorised. The Gujarat High Court in *Comsol Energy Pvt. Ltd.* (2021 (6) TMI 827 – GUJARAT HIGH COURT) and *Binani Cement Ltd* (2013) 288 ELT 193 (Guj), has clearly held that amounts collected without authority of law fall outside the scope of statutory refund limitations and are instead governed by general principles under the Limitation Act, particularly Section 17 dealing with mistake of law. Once the levy is declared invalid or wrongly imposed, the State's obligation to refund arises independently of procedural timelines under special tax statutes.

Equally significant is the Madras High Court's interpretation in *Lenovo (India) Pvt. Ltd.* [2023 (11) TMI 774 – MADRAS HIGH COURT], which clarifies that the language of Section 54(1)—using the word “may”—renders the two-year limitation directory and not mandatory in appropriate cases.

In the author's view, Rule 89(1A) cannot be elevated to defeat substantive restitution. Procedural prescriptions are meant to regulate, not extinguish, legitimate claims arising from constitutional violations.



Whether construction of residential flats by a developer for the landowner under a Joint Development Agreement constitutes a taxable supply under GST?

Yes, the Authority for Advance Ruling, Kerala in In re: **M/s. SI Property Kerala Private Limited [AAR No. KER/30/2025, decided on 08.10.2025 | 2025 (11) TMI 1627 – AAR, KERALA]** held that construction of residential flats undertaken by a developer for the landowner under a Joint Development Agreement (JDA), in consideration of transfer of development rights, constitutes a taxable supply of services under Entry 5(b) of Schedule II of the CGST Act, 2017. The applicant, a real estate developer, entered into a JDA with landowners for development of a residential apartment project, whereby the landowners transferred development rights and received a specified share of constructed flats in return. The Authority observed that such construction activity squarely falls within “construction of a complex intended for sale” and is deemed to be a supply of service under Schedule II. Since the project was a non-affordable residential apartment project, GST at 5% (without ITC) was held payable by the developer on the construction service attributable to the landowner’s share. The taxable value was directed to be determined on the basis of the open market value of similar flats sold to independent buyers around the date of transfer of development rights. The Authority further held that transfer of development rights by the landowner constitutes a supply of service taxable at 18%, and in respect of unsold units, GST on such transfer of development rights is payable by the developer under reverse charge at the time of completion or first occupation of the project, as applicable.

Author’s Comments:

This ruling must be read in the context of the post-01.04.2019 overhaul of GST treatment for Joint Development Agreements (JDAs). The law now clearly recognises that a JDA involves two distinct and reciprocal supplies—(i) transfer of development rights (TDR/FSI/long-term lease) by the landowner, and (ii) construction service by the developer to the landowner, both taxable under GST, albeit with specific exemptions, rate caps, and deferred time of supply.

Vide Notification No. 4/2019-CT(R), supply of TDR/FSI/long-term lease by the landowner to the developer has been exempted, subject to the condition that the constructed flats are sold before issuance of completion certificate and GST is discharged on such outward supplies. This exemption is partially withdrawn to the extent of flats remaining unsold on the date of completion—limited to 1% of value for affordable housing and 5% for other than affordable housing. Importantly, Notification Nos. 5/2019-CT(R) and 7/2019-CT(R) shift the liability to pay tax on TDR/FSI from the landowner to the developer under the reverse charge mechanism (RCM).

Simultaneously, Notification No. 6/2019-CT(R) (as amended by Notification No. 3/2021-CT(R)) defers the time of supply for payment of GST on TDR/FSI and construction services to the earlier of issuance of completion certificate or first occupation. However, this deferment is not absolute. Where the landowner-promoter sells its share of under-construction flats prior to completion and avails ITC of GST charged by the developer (fourth proviso to Notification No. 3/2019-CT(R)), the developer is obliged to discharge GST on construction services on a percentage-of-completion basis to that extent. Deferment under Notification 6/2019-CT(R) applies only to unsold units falling to the landowner’s share as on the date of completion.



Whether relief under Article 226 can be granted against action under Section 68 of the GST Act when the taxpayer is found to be involved in a fraudulent ITC arrangement?

No, the Hon'ble Rajasthan High Court in **Korfex Industries Private Limited v. State of Rajasthan & Ors. [D.B. Civil Writ Petition No. 12230 of 2025, decided on 07.11.2025 | 2025 (11) TMI 1780 – RAJASTHAN HIGH COURT]** dismissed the writ petition and upheld the invocation of Section 68 of the CGST Act, 2017, holding that a taxpayer found to be part of a systematic and fraudulent scheme to defraud the revenue is not entitled to discretionary relief under Article 226 of the Constitution. In the present case, the petitioner challenged action taken by the department on the ground that the vehicle in question was not "in transit" and that certain procedural lapses had occurred in invoking Section 68. While the Court acknowledged that the authorities may have committed technical irregularities in treating a stationary vehicle as being in transit, it found that such lapses did not entitle the petitioner to relief. On examination of the material placed on record, the Court recorded a categorical finding that the petitioner had colluded in a well-orchestrated scheme involving generation of fictitious outward supplies, use of bogus entities, and fraudulent availment and utilisation of Input Tax Credit by exploiting systemic loopholes under GST. The Court observed that the petitioner's conduct demonstrated clear abuse of the statutory framework and constituted an attempt to defeat the tax system. Emphasising that writ jurisdiction is equitable and discretionary, the High Court held that relief under Article 226 cannot be extended to a litigant with unclean hands or one who seeks to legitimise fraudulent conduct by pointing out procedural defects. Accordingly, the writ petition was dismissed, the action under Section 68 was upheld, and exemplary costs of ₹5,00,000 were imposed on the petitioner-company.

Author's Comments:

The powers of the intercepting officers under Section 68 of the CGST Act are narrowly circumscribed and are confined to verification of documents prescribed for movement of goods under Rule 138A. This position stands clarified by Circular No. 49/23/2018-GST dated 21.06.2018, which unequivocally states that detention or seizure can be resorted to only where there is a violation of the GST law or the rules governing movement of goods. The statutory scheme does not authorise intercepting officers to travel beyond this limited mandate based on subjective perceptions or past experiences of alleged tax evasion.

The Supreme Court has repeatedly cautioned, notably in *Sakal Papers (P) Ltd. (1961 (9) TMI 68 – Supreme Court)*, that "passion to protect the interest of revenue does not permit bypassing the law." In the present case, jurisdictional limits appear to have been overlooked. First, where documents prescribed under Rule 138A are found to be valid and in order, there is no statutory authority to detain or seize goods for any collateral suspicion unrelated to movement violations. Second, the very heading of Section 68—"Inspection of goods in movement"—makes it abundantly clear that the provision operates only when goods are actually in movement. In the instant case, the goods were neither in transit nor undergoing transportation, rendering the invocation of Section 68 legally untenable.

Further, if the goods were indeed alleged to be offending goods, the proper course available to the department was to initiate proceedings under Section 67 by issuance of Form GST INS-01 followed by seizure under INS-02, based on independent "reasons to believe." Bypassing this statutory route undermines procedural safeguards. Additionally, post the amendment effective from 01.01.2022, direct invocation of Section 130 without first concluding proceedings under Section 129 or Section 67 is impermissible in law.

In the author's considered view, the denial of relief solely on the ground of alleged fraud, while overlooking foundational jurisdictional defects, sets an unsettling precedent. Even in cases involving serious allegations, statutory boundaries cannot be diluted. Jurisdiction is not cured by gravity of accusation. When the law prescribes a particular manner for exercise of power, it must be followed strictly—or not at all.



Whether affiliation fees, admission fees, registration fees and other statutory charges collected by a State University constitute a “supply” liable to GST under the CGST/KGST Acts?

No, the Hon'ble Karnataka High Court in **M/s. Rani Channamma University v. Commercial Tax Officer (Enforcement), North Zone, Belagavi & Ors. [Writ Petition No. 100780 of 2024 (T-RES), decided on 24.11.2025 | 2025 (12) TMI 314 – KARNATAKA HIGH COURT]** held that affiliation fees, PG registration fees, admission fees, convocation fees and similar statutory charges collected by a State University do not constitute “supply” made in the course or furtherance of “business” and are therefore not exigible to GST. The petitioner-University, established under a State enactment, was subjected to proceedings under Section 73 of the CGST/KGST Acts on the allegation that various fees collected from affiliated colleges and students constituted taxable consideration for supply of services. The adjudicating authority passed orders under Section 73(9) read with Rule 142(5) confirming GST demand on such receipts. The High Court, following an earlier co-ordinate Bench decision on an identical issue, observed that the activities performed by the University in granting affiliation, conducting examinations, registering students and conferring degrees are statutory and sovereign functions discharged in furtherance of its educational mandate and not in the nature of commercial or business activities. The Court held that the essential ingredients of “supply” under Section 7, particularly the requirement of business or consideration in a commercial sense, were absent. Consequently, the Court found that the show cause notices themselves were without jurisdiction and that the consequential adjudication orders were legally unsustainable. Accordingly, the impugned notices and orders were quashed in entirety and the writ petition was allowed in favour of the University.

Author's Comments:

This judgment reinforces an important doctrinal distinction under GST law between commercial activity and statutory or sovereign functions. Although the definition of “business” under Section 2(17) of the CGST Act is wide, it cannot be read in isolation or stretched to cover every activity involving collection of money. The legislative framework of GST continues to anchor “supply” under Section 7 to activities carried out in the course or furtherance of business, and that foundational requirement cannot be diluted by an over-expansive reading of Section 2(17).

The Karnataka High Court has correctly applied the principle of ejusdem generis while interpreting the phrase “any other similar activity” appearing in the definition of business. Activities such as affiliation, registration, examination, and conferment of degrees are not commercial ventures but statutory obligations discharged by universities under the Universities Act. The fees collected are regulatory in nature, intended to defray administrative costs, and lack the essential character of consideration flowing from a commercial quid pro quo.

This reasoning aligns with settled jurisprudence. The Supreme Court in Sai Publication Fund (2002) 4 SCC 57 clearly held that where the dominant activity is non-commercial, incidental receipts cannot independently assume the character of business. Likewise, recent High Court decisions, including Goa University (2025 (4) TMI 1056 - BOMBAY HIGH COURT) and Central Electricity Regulatory Commission 2025(1) TMI 887 (Delhi), have consistently recognised that statutory authorities acting in furtherance of legislative mandates do not operate as market participants.

However, the decision also highlights a growing judicial trend of judicially carving limits on the otherwise broad statutory definition of “business.” While this protects statutory bodies from unintended tax exposure, it may invite further litigation, particularly in borderline cases where public bodies undertake mixed or revenue-generating activities alongside statutory functions. The revenue may still argue that certain university services with optional or competitive elements fall outside this protective zone.



Whether refund of unutilised ITC on export of services can be denied under Section 54 of the CGST Act merely for non-submission of FIRC's when receipt of foreign exchange is otherwise undisputed?

No, the Hon'ble Gujarat High Court in *Kuehne plus Nagel Private Limited v. Union of India & Ors. [R/Special Civil Application No. 12151 of 2025, decided on 06.11.2025 | 2025 (12) TMI 310 – GUJARAT HIGH COURT]* held that refund of unutilised Input Tax Credit on export of services cannot be denied merely on the ground that Foreign Inward Remittance Certificates (FIRC's) corresponding to export invoices were not furnished, when the receipt of convertible foreign exchange is otherwise undisputed. In the present case, the petitioner, engaged in export of services, had filed refund applications under Section 54 of the CGST Act read with Rule 89 of the CGST Rules for unutilised ITC. The refund claims were rejected solely on the ground that FIRC's were not submitted for each export invoice and that only Foreign Inward Remittance Advice (FIRA) documents were furnished, allegedly in violation of Circular No. 125/44/2019-GST. The High Court noted that the issue was squarely covered by its earlier decision in the petitioner's own case, wherein it was held that procedural requirements prescribed under circulars cannot override the substantive right of refund when export proceeds have been received in convertible foreign exchange. The Court observed that the department had not disputed the factum of receipt of export consideration and that insistence on FIRC's, despite availability of other reliable documentary evidence including a Chartered Accountant's certificate, was hyper-technical and unsustainable. Accordingly, the rejection orders were set aside, and the authorities were directed to consider the Chartered Accountant's certificate and process the refund claims for the relevant tax periods within a period of twelve weeks.

Author's Comments:

This judgment reinforces the well-settled principle that refund of unutilised ITC on export of services is a substantive statutory right flowing from Section 54 of the CGST Act and cannot be defeated by rigid insistence on procedural formalities, particularly when the receipt of export consideration in convertible foreign exchange is not in dispute. The Court has rightly reiterated that circulars and departmental instructions are intended to streamline administration and cannot curtail or override rights conferred by the parent statute.

The insistence on submission of FIRC's for each export invoice, despite availability of alternative and reliable evidence such as Foreign Inward Remittance Advice (FIRA) and a Chartered Accountant's certificate, reflects a hyper-technical approach divorced from commercial realities. In modern banking practice, FIRC's are often not issued invoice-wise, and banks themselves increasingly rely on consolidated remittance advices. Denial of refund on such grounds frustrates the export-promotion objective underlying zero-rating of services.

The reliance placed by the High Court on the decision of the Hon'ble Supreme Court in *Union of India v. Mangal Textile Mills Pvt. Ltd.* 2010 (2) TMI 699 – Supreme Court is significant. The Supreme Court has unequivocally held that a certificate issued by a Chartered Accountant is an authentic and credible document and must be given due weight by the authorities. Once a CA certifies receipt of consideration in foreign exchange, the onus shifts to the department to disprove the same with cogent material; it cannot be brushed aside merely because a particular format of banking document is not produced.



Whether paddy qualifies as “agricultural produce” and whether rent received for godown used for storage of paddy is exempt from GST?

Yes, the Authority for Advance Ruling, Tamil Nadu in *In re: Lakshmanan Sivalingam (M/s. Lena Modern Rice Mill)* [AAR No. TN/47/AAR/2025, decided on 17.11.2025 | 2025 (12) TMI 428 – AAR, TAMIL NADU] held that paddy qualifies as “agricultural produce” for the purposes of GST and that rent received for a godown used for storage of paddy is exempt from GST under Sl. No. 54 of Notification No. 12/2017–Central Tax (Rate). In the present case, the applicant was engaged in renting out a godown for storage of paddy and sought a ruling on whether such rental income was taxable. The Authority examined the definition of “agricultural produce” contained in the exemption notification and observed that paddy is a product of cultivation, and that the only processing normally undertaken by the cultivator is removal of husk. Such processing, the Authority noted, does not alter the essential characteristics of paddy but merely renders it marketable in the primary market. On this basis, the Authority concluded that paddy squarely falls within the scope of agricultural produce. Consequently, services relating to storage or warehousing of paddy, including renting of godowns for such storage, are covered by the exemption provided under Sl. No. 54 of the notification and attract a Nil rate of GST. Accordingly, it was ruled that the rent received for the godown used for storage of paddy is not taxable under GST.

Author’s Comments:

The ruling correctly applies the statutory definition of “agricultural produce” as contained in Notification No. 12/2017–CT (Rate) and brings clarity on the distinction between paddy and rice under GST. Paddy, being the raw, unmilled grain harvested directly from cultivation, undergoes only minimal processing such as de-husking or drying, which is ordinarily carried out by the cultivator to make it marketable in the primary market. Such processing does not alter the essential character of the produce and therefore squarely satisfies the definition of “agricultural produce”.

This distinction is crucial because once paddy is milled into rice, it ceases to be agricultural produce for the purpose of GST exemptions. The Authority’s reasoning aligns with the Sl. No. 54 of Notification No. 12/2017–CT (Rate), which seeks to exempt services that are integrally connected with agriculture and primary post-harvest handling, including storage and warehousing. Renting of godowns used exclusively for storage of agricultural produce is thus not a commercial real estate service, but an ancillary agricultural service deserving exemption.



Whether seizure of goods and imposition of penalty under Section 129(3) of the CGST Act are sustainable when the e-way bill was generated prior to detention of goods?

No, the Hon'ble Allahabad High Court in *M/s. Om Enterprises v. Additional Commissioner, Grade-II (Appeal) & Anr. [Writ Tax No. 629 of 2023, decided on 13.11.2025 | 2025 (11) TMI 934 – ALLAHABAD HIGH COURT]* held that detention of goods, seizure and levy of penalty under Section 129(3) of the CGST Act cannot be sustained where the e-way bill was generated well before interception and was produced during the proceedings. In the present case, the petitioner's goods in transit were intercepted by the authorities on the allegation that the e-way bill was not available at the time of detention, leading to seizure of goods and imposition of penalty. The petitioner, however, established that the e-way bill had been duly generated prior to the interception and was placed on record along with the reply submitted to the authorities. The Court observed that once the statutory document governing movement of goods existed prior to detention, the essential ingredient of contravention with intent to evade tax was absent. The High Court further noted that the authorities failed to record any independent finding of mens rea or deliberate evasion and proceeded mechanically to invoke Section 129. Emphasising that Section 129 is a preventive provision intended to check tax evasion and not to penalise bona fide transactions supported by valid documentation, the Court held that the impugned seizure and penalty orders were arbitrary and contrary to law, and accordingly quashed the same.

Author's Comments:

Section 68 read with Section 129 of the CGST Act confers jurisdiction upon the intercepting officer only where the person in charge of conveyance fails to carry the documents prescribed under Rule 138A. The statutory test is binary—either the requisite documents exist at the time of movement or they do not. Where an e-way bill has already been generated prior to interception and is subsequently produced during proceedings, the foundational condition for invoking Section 129 collapses.

It is true that Section 129 does not expressly incorporate mens rea as a statutory precondition. However, absence of an explicit mens rea requirement does not license mechanical imposition of penalty in every case of alleged procedural lapse. The Calcutta High Court in *Asian Switchgear Pvt. Ltd. v. State of West Bengal* [M.A.T. No. 32 of 2023, (12) TMI 236 – CALCUTTA HIGH COURT] drew from the Supreme Court's rulings in *Union of India v. Dharmendra Textile Processors* (2008) (2008 AIR SCW 8038), *Union of India v. Rajasthan Spinning & Weaving Mills* (2009) (AIR ONLINE 2009 SC 20), and most notably, *Shri Ram Mutual Fund v. SEBI* (2006) and *ONGC v. Saw Pipes Ltd* (2003), (AIR 2003 SUPREME COURT 2629), has clarified that even in civil penalty regimes, penal consequences must rest on a conscious violation or, at the very least, gross negligence, and not on inadvertent or technical omissions.

Section 129 is a preventive and regulatory provision, intended to curb tax evasion in the guise of movement of goods without documentation. It is not designed to penalise bona fide transactions where the statutory trail exists and the movement is supported by a valid e-way bill generated prior to interception. Treating minor or alleged lapses in production timing as substantive contraventions distorts the purpose of the provision and leads to arbitrary enforcement.



12

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
CHARTERED
ACCOUNTANTS
Growth. Clarity. Integrity

Whether a GST demand can exceed the amount proposed in the show-cause notice in view of Section 75(7) of the CGST Act, 2017?

No, the Hon'ble Allahabad High Court in *M/s Kisan Brick Field, Para Saray Itiyathok Gonda through Proprietor Shaban Mohammad v. State of U.P. & Ors. [Writ Tax No. 1284 of 2025, decided on 12.11.2025 | 2025 (11) TMI 837 – ALLAHABAD HIGH COURT]* held that a final demand exceeding the amount specified in the show-cause notice is ex facie illegal and violative of Section 75(7) of the CGST Act. In the present case, the petitioner was issued a show-cause notice dated 11.11.2024 under Section 74 proposing a demand of ₹2,34,626.52 towards tax, interest, and penalty for FY 2020-21. The notice was uploaded on the GST portal under the "Additional Notices and Orders" tab, of which the petitioner claimed to have had no knowledge. A reminder was subsequently issued; however, in the absence of any reply, the adjudicating authority passed an order dated 16.02.2025 confirming a substantially higher demand of ₹6,52,259.04. The petitioner's appeal was dismissed on the ground of limitation. The High Court, upon examining Section 75(7), observed that the statute expressly mandates that the amount of tax, interest, and penalty demanded in the final order shall not exceed the amount specified in the notice, nor can the demand be confirmed on grounds beyond those set out therein. The Court found that the show-cause notice proposed only ₹2,34,626.52, whereas the confirmed demand was nearly three times that amount, rendering the order unsustainable in law. While the Court noted that mere indication of a reply date in the notice cannot, by itself, vitiate proceedings, it held that the statutory violation under Section 75(7) was sufficient to invalidate the adjudication. Consequently, the impugned assessment order dated 16.02.2025 and the appellate order dated 08.10.2025 were quashed, and the matter was remanded to the adjudicating authority to afford the petitioner an opportunity of reply and personal hearing and thereafter pass a fresh order in accordance with law.

Author's Comments:

Section 75(7) of the CGST Act is a vital statutory safeguard that confines adjudication strictly to the quantum and grounds stated in the show-cause notice. It was consciously enacted to cure a long-standing mischief under earlier tax regimes, where authorities routinely travelled beyond the SCN while confirming demands. The Supreme Court in *Commissioner of Customs, Mumbai v Toyo Engineering India Limited [Writ No. 2532 of 2001, dated August 31, 2006, (2006 AIR SCW 5167)]* has unequivocally held that the department cannot go beyond the scope of the SCN—this principle now finds explicit statutory recognition in Section 75(7).

In the present case, the adjudicating authority confirmed a demand nearly three times higher than what was proposed in the SCN, rendering the order ex facie without jurisdiction. Such an infraction is not a procedural irregularity but a substantive violation that strikes at the root of natural justice—no taxpayer can be saddled with a liability that was never put to notice.

While the High Court correctly identified the breach of Section 75(7), its decision to remand the matter for fresh adjudication is open to debate. Once the lis is crystallised by a valid SCN, there is no legal basis to permit the assessment order to operate as a substitute or "second" SCN. Allowing the revenue to cure a jurisdictional defect through remand effectively dilutes the protective intent of Section 75(7) and legitimises retroactive expansion of the demand.

In the author's considered view, where an order travels beyond the SCN, the only legally sustainable course is to set aside the demand to the extent of excess and confine adjudication strictly to what was proposed. Granting repeated opportunities to reframe or expand demands undermines certainty, encourages casual drafting of SCNs, and weakens the taxpayer-protection architecture deliberately built into the GST law.



Whether the Authority for Advance Ruling can refuse to entertain an application under the proviso to Section 98(2) of the CGST Act when a prior proceeding has not adjudicated the legal issue of taxability?

No, the Hon'ble Kerala High Court in **Travancore Devaswom Board v. Commissioner of State GST, Thiruvananthapuram & Ors. [WP(C) No. 18624 of 2025, decided on 07.10.2025 | 2025 (11) TMI 759 – KERALA HIGH COURT]** held that the Authority for Advance Ruling (AAR) cannot decline jurisdiction under the proviso to Section 98(2) of the CGST Act merely because a prior proceeding existed, unless such proceeding had conclusively decided the very issue raised in the advance ruling application. The petitioner had filed an application seeking an advance ruling on the taxability of certain transactions connected with its statutory and religious functions. The AAR refused to entertain the application on the ground that earlier proceedings (Ext.P3) were pending or decided, thereby invoking the bar under Section 98(2). The Court observed that the earlier proceedings were closed solely for remittance of tax and did not adjudicate the legal question of taxability or classification raised in the advance ruling application. It was held that for the proviso to Section 98(2) to apply, there must be a pending or concluded proceeding in which the identical legal issue has been adjudicated on merits. Since Ext.P3 did not involve any determination of the issues raised in Ext.P4 application, the refusal order (Ext.P5) was found unsustainable. The Court accordingly quashed the refusal and directed the AAR to reconsider the advance ruling application on merits, uninfluenced by the earlier proceedings, and decide the matter in accordance with law.

Author's Comments:

The proviso to Section 98(2) bars admission of an advance ruling application only when the very issue raised is already pending or has been decided in any proceedings in the case of that applicant. The provision neither defines the term "proceedings" nor expands the embargo to issues pending in the case of other persons. This distinction is critical. The Kerala High Court has correctly held that a mere existence of prior proceedings does not ipso facto attract the bar; what is determinative is whether those proceedings conclusively adjudicated the same legal issue on merits.

Proceedings that are closed merely for remittance of tax, without examining the underlying legal character of the transaction, cannot be equated with adjudication. To hold otherwise would allow the department to defeat advance ruling jurisdiction through procedural or revenue-driven closures, undermining the statutory purpose of Chapter XVII.

At the same time, divergent views taken by AARs highlight the complexity of the term "proceedings." In Tamil Nadu Medical Council [2024 (AAR-TN)], the AAR treated summons issued by DGGI prior to the filing of the advance ruling application as "proceedings," holding that investigation and inquiry stages preceding a show-cause notice are sufficient to trigger the bar under Section 98(2). While this interpretation broadens the scope of the embargo, it also risks diluting the utility of the advance ruling framework by excluding applicants even before a legal issue crystallises.

In the author's considered view, mere investigative steps or revenue-collection actions should not, by themselves, foreclose the right to seek an advance ruling, unless the same legal issue has been consciously examined and decided.



Whether the GST authorities can block Input Tax Credit beyond the balance available in the electronic credit ledger by creating a negative ITC balance under Rule 86A of the CGST Rules?

No, the Hon'ble Bombay High Court in **King Enterprises v. Union of India & Ors. [Writ Petition No. 5094 of 2025, decided on 18.11.2025 | 2025 (11) TMI 1784 – BOMBAY HIGH COURT]** held that blocking of Input Tax Credit beyond the credit actually available in the electronic credit ledger by creating a negative balance is ultra vires Rule 86A of the CGST Rules, 2017. In the present case, the petitioner challenged the action of the department whereby ITC in excess of the available balance was blocked, resulting in a negative credit position in the electronic ledger. The petitioner did not dispute the blocking of ITC to the extent of ₹7,06,770/-, being the actual credit available at the relevant time, but assailed the action of blocking ITC beyond that amount. The Court observed that Rule 86A empowers the authorities only to restrict utilisation of the credit available in the electronic credit ledger and does not authorise creation of a negative balance or blocking of notional or future credits. The High Court relied upon its earlier decision in *Rawman Metal & Alloys v. Union of India* [2025 (10) TMI 489 – BOMBAY HIGH COURT] and concurred with the consistent view taken by the Gujarat High Court in *Samay Alloys India Pvt. Ltd.* [2022 (2) TMI 843 – GUJARAT HIGH COURT], the Telangana High Court in *M/s. Laxmi Fine Chem* (2024 (5) TMI 509 – TELANGANA HIGH COURT), and the Delhi High Court in *Best Crop Science (LLP)* (2024 (9) TMI 1543 – DELHI HIGH COURT), all of which held that negative blocking of ITC is impermissible. Holding that the impugned communication was illegal to the extent it blocked ITC beyond the available balance, the Court set aside the order to that extent and issued a writ of mandamus directing the respondents to unblock ITC exceeding ₹7,06,770/-, while permitting the restriction to continue to the extent of the undisputed amount.

Author's Comments:

Rule 86A is drafted in clear and unambiguous terms. It authorises the proper officer to restrict "the use of the amount available in the Electronic Credit Ledger" only when he has reason to believe that "such credit" has been fraudulently availed or is otherwise ineligible. The language itself establishes two jurisdictional pre-conditions:

- (i) a positive ITC balance must exist in the electronic credit ledger on the date of the blocking order; and
- (ii) the officer's belief must relate specifically to that available credit.

If no credit exists, there is nothing capable of being blocked. Any attempt to block future, notional, or already-utilised credit is therefore devoid of statutory foundation. This interpretation is reinforced by the very heading of Rule 86A—"conditions of use of amount available in the Electronic Credit Ledger"—which courts have consistently held may be relied upon to resolve interpretational doubts (see *Uttamdas Chela Sunder Das* (1996) 5 SCC 71), *Bhinka* (AIR 1959 (SC) 906)).

The consistent judicial view of the Bombay, Gujarat, Telangana, and Delhi High Courts correctly recognises that Rule 86A regulates utilisation, not recovery. It is a temporary, preventive measure intended to safeguard revenue pending investigation, and not a mechanism to create artificial negative balances or to attach future credits. The revenue's attempt to invoke purposive interpretation to justify negative blocking is misplaced, as fiscal statutes must be construed strictly; legislative intention cannot override plain statutory language.

That said, the issue is not entirely free from divergence. The Calcutta High Court in *Basanta Kumar Shaw* (2024 (6) TMI 231 – CALCUTTA HIGH COURT) departed from this line, holding that Rule 86A does not expressly require a positive balance and that fraudulently availed ITC represents a substantive entitlement rather than a mere ledger entry. While this view expands the scope of Rule 86A, it risks converting a precautionary restriction into a punitive tool, a transformation neither envisaged nor supported by the statutory scheme.

In the author's considered view, the Bombay High Court's reasoning better aligns with the architecture of the GST law. Rule 86A is not a recovery provision; stretching it to cover exhausted or non-existent credit would effectively convert it into a quasi-attachment mechanism, an outcome wholly alien to the rule. Until the Supreme Court resolves the conflict, taxpayers have strong grounds to challenge any attempt at negative ITC blocking under Rule 86A.

Whether a society formed under a Government Order and substantially funded and controlled by the State qualifies as a “Government Entity” and is entitled to GST exemption under Entry 9B of the exemption notification?

Yes, the Hon'ble Karnataka High Court in *M/s. Bagalkot Nirmithi Kendra v. Union of India & Ors. [Writ Petition No. 103139 of 2021 (T-RES), decided on 25.11.2025 | 2025 (11) TMI 1924 – KARNATAKA HIGH COURT]* held that the petitioner-society qualifies as a “Government Entity” within the meaning of clause (zfa) of Notification No. 12/2017-Central Tax dated 28.06.2017 (as amended on 13.10.2017) and is consequently entitled to the GST exemption provided under Entry 9B of the said notification. The petitioner, a Nirmithi Kendra, was constituted pursuant to a Government Order with the objective of undertaking construction and infrastructure works for public purposes. The record showed that the society was substantially funded by the State Government and subject to significant governmental control in its constitution, functioning, and administration. The revenue authorities denied the exemption, contending that the petitioner did not satisfy the definition of a Government Entity. The High Court, on a combined reading of clause (zfa) defining “Government Entity” and Entry 9B granting exemption to specified services provided by such entities, found the revenue's approach erroneous. The Court observed that the statutory test is not the form of incorporation but whether the entity is set up by the Government, is controlled by it, and is substantially funded by it—conditions which the petitioner clearly satisfied. Holding that the impugned communication dated 07.07.2021 denying the exemption was unsustainable, the Court quashed the same and allowed the writ petition in full, granting the benefit of exemption to the petitioner.

Author's Comments:

This judgment is a welcome reaffirmation of the settled legal principle that substance prevails over form while determining eligibility for GST exemptions meant for Government Entities. The Karnataka High Court has correctly applied the statutory definition under clause (zfa) of Notification No. 12/2017-CT, focusing on the tests of governmental creation, control, and substantial funding, rather than the mere juridical form of the entity as a society.

The Court's reasoning aligns squarely with the jurisprudence laid down in *SHAPOORJI PALOONJI & COMPANY PRIVATE LIMITED V. COMMISSIONER, CUSTOMS, CENTRAL EXCISE AND SERVICE TAX 2016 SCC OnLine Pat 1602*, as finally affirmed by the Hon'ble Supreme Court (*COMMISSIONER, CUSTOMS, CENTRAL EXCISE AND SERVICE TAX V. SHAPOORJI PALLONJI & CO. (P) LTD. (2024) 3 SCC 358*). The Supreme Court's detailed analysis of punctuation—particularly the use of a semicolon in the definition clause—clarifies that entities set up directly by Government under statute or executive order form an independent category, not subject to the additional “90% participation” condition applicable only to the alternative limb of the definition. This grammatical but legally significant interpretation has now attained finality.

In the author's considered view, this decision will have wider implications for societies, trusts, and special purpose vehicles constituted by Governments across India. It strengthens the position that GST exemptions for Government Entities must be interpreted purposively and consistently, especially where the activities are in furtherance of public functions entrusted by the State.



16

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
CHARTERED
ACCOUNTANTS
Growth. Clarity. Integrity

Whether GST can be levied on regulatory fees collected by a State Electricity Regulatory Commission for discharge of its statutory and sovereign functions under the Electricity Act?

No, the Hon'ble Karnataka High Court in **M/s. Karnataka Electricity Regulatory Commission v. Joint Commissioner, Central Tax, Bengaluru-North & Ors. [Writ Petition No. 6442 of 2025 (T-RES), decided on 28.11.2025 | 2025 (12) TMI 636 – KARNATAKA HIGH COURT]** held that regulatory fees and charges collected by the State Electricity Regulatory Commission (SERC) for discharge of its statutory functions do not constitute a "supply" under Section 7 of the CGST Act and are therefore not exigible to GST. In the present case, the petitioner-Commission, constituted under the Electricity Act, 2003, was issued a show cause notice proposing levy of GST on fees collected for regulatory and adjudicatory activities, including tariff determination and licensing. The adjudicating authority confirmed the demand, treating such activities as taxable services. The High Court, relying upon the reasoning adopted in analogous matters concerning other State Electricity Regulatory Commissions, observed that the petitioner performs sovereign and quasi-judicial functions entrusted by statute in relation to regulation of electricity, a natural resource. The Court held that such regulatory, adjudicatory and supervisory functions are in the nature of public duties discharged in public interest and lack the essential elements of "business" or "consideration" necessary to qualify as a taxable supply. The Court further held that treating sovereign or regulatory functions as taxable supplies would distort the constitutional scheme and impermissibly expand the scope of GST. Consequently, the Court held that the impugned show cause notice and the consequential adjudication order were without jurisdiction and legally unsustainable, and accordingly quashed the same, allowing the writ petition in full.

Author's Comments:

This decision strengthens the growing judicial consensus that statutory regulators performing sovereign, regulatory, and quasi-judicial functions do not enter the GST net merely because they collect fees while discharging those duties. The Karnataka High Court's reasoning comfortably aligns with the earlier Division Bench ruling of the Delhi High Court in respect of the Central and Delhi Electricity Regulatory Commissions (2025 (1) TMI 887 – DELHI HIGH COURT), where the true nature of regulatory powers under the Electricity Act, 2003 was examined in detail.

As the Delhi High Court correctly observed, functions such as tariff determination, grant of licences, and regulation of electricity markets are not commercial activities by any stretch of imagination. These are statutory obligations imposed by Parliament to serve public interest and ensure orderly governance of a critical sector. They bear no resemblance to trade, commerce, profession, or vocation as contemplated under Section 2(17) of the CGST Act. The Supreme Court's decision in PTC India Ltd. v. CERC (2010 4 SCC 603) has long recognised that regulatory commissions occupy a unique space—combining delegated legislative authority, administrative oversight, and quasi-judicial adjudication—clearly distancing them from market participants or service providers.

The relevance of Schedule III of the CGST Act is equally important. Services rendered by courts or tribunals established under law are expressly excluded from the scope of "supply". Once it is accepted that electricity regulatory commissions function as tribunals for adjudicatory purposes, and as statutory regulators for the rest, any attempt to artificially isolate "regulatory functions" and subject them to GST becomes legally fragile. The department's broad assertion that "anything other than goods" constitutes services overlooks the statutory requirement that such services must still arise in the course or furtherance of business—a condition plainly absent here.



17

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

**RA
&A**
CHARTERED
ACCOUNTANTS
Growth. Clarity. Integrity

ABOUT THE AUTHOR

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



Mr. Ritesh Arora is a distinguished Chartered Accountant with over 12 years of focused expertise in Indirect Taxation, with a special emphasis on GST litigation, advisory, and appellate matters. A Fellow Member of the ICAI, he qualified in 2013 and has since emerged as a trusted name in the field of GST, known for his deep legal insight and strategic approach to complex tax disputes.

His core areas of practice include appellate proceedings, departmental audits, inspection and search cases, and legal strategy formulation under the GST regime. His strong command over GST jurisprudence and nuanced understanding of procedural intricacies make him a sought-after consultant for challenging matters.

Professional Credentials:

- Author of 'GST Gavel – A Litigation Guide'
- Specialist in GST litigation and advisory services
- Special Invitee Member of Indirect Taxes Committee of NIRC of ICAI 2025-26
- Vice Chairman of ICAI Amritsar Branch (2024-25)
- NICASA Chairman of ICAI Amritsar (2024-25)
- Previous Treasurer of ICAI Amritsar (2022-23, 2023-24)
- Speaker and contributor to professional development in taxation and finance

Beyond his professional accomplishments, CA Ritesh Arora is also a former National Silver Medalist and Punjab Gold Medalist in Judo at CBSE National Tournaments—an early testament to his discipline and competitive spirit. With a unique blend of subject-matter expertise, courtroom experience, and a passion for simplifying complex tax laws, CA Ritesh Arora continues to make a meaningful impact as a practitioner, author, speaker, and mentor in India's evolving GST landscape

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER

✉ ritesh@riteshglobalca.com

🌐 www.riteshglobalca.com

ABOUT THE FIRM

Ritesh Arora & Associates is a multidisciplinary Chartered Accountancy firm with a specialized focus on GST litigation & indirect taxation and a comprehensive portfolio of accounting & book-keeping, audit, tax, advisory, outsourcing, and CFO services. Founded with the vision of delivering practical, legally sound, and business-focused solutions, we empower businesses, startups, and individuals to stay compliant, resolve disputes, and make confident financial decisions.

Our partner-led approach combines deep technical expertise, litigation experience, and strategic thinking, helping clients strengthen governance, optimize tax positions, and drive sustainable growth

We provide end-to-end professional services covering:

- GST & Customs Taxation
- Direct & International Taxation
- Accounting & Book-keeping Services
- Audit & Assurance
- Business Setup & Regulatory Advisory
- Outsourcing & Virtual CFO Services
- Advisory, Valuation & Transactions
- Litigation & Representation
- Specialized Services
- Funding & Deal Support

OUR MISSION

To be the trusted growth partner for businesses and professionals by simplifying tax and compliance, delivering strategic solutions, and sharing knowledge that empowers decision-making

OUR EDGE

- **Specialized Expertise:** Deep experience in GST & litigation matters
- **Full-Service Capability:** From audit to advisory, compliance to funding support
- **Knowledge Leadership:** Publications, workshops & capacity-building initiatives
- **Partner-Led Engagement:** Personalized, hands-on attention to every client
- **Practical Solutions:** Actionable strategies with measurable business impact

19

CA RITESH ARORA

FCA, DISA, B.Com(P)

PARTNER



ritesh@riteshglobalca.com



www.riteshglobalca.com

